

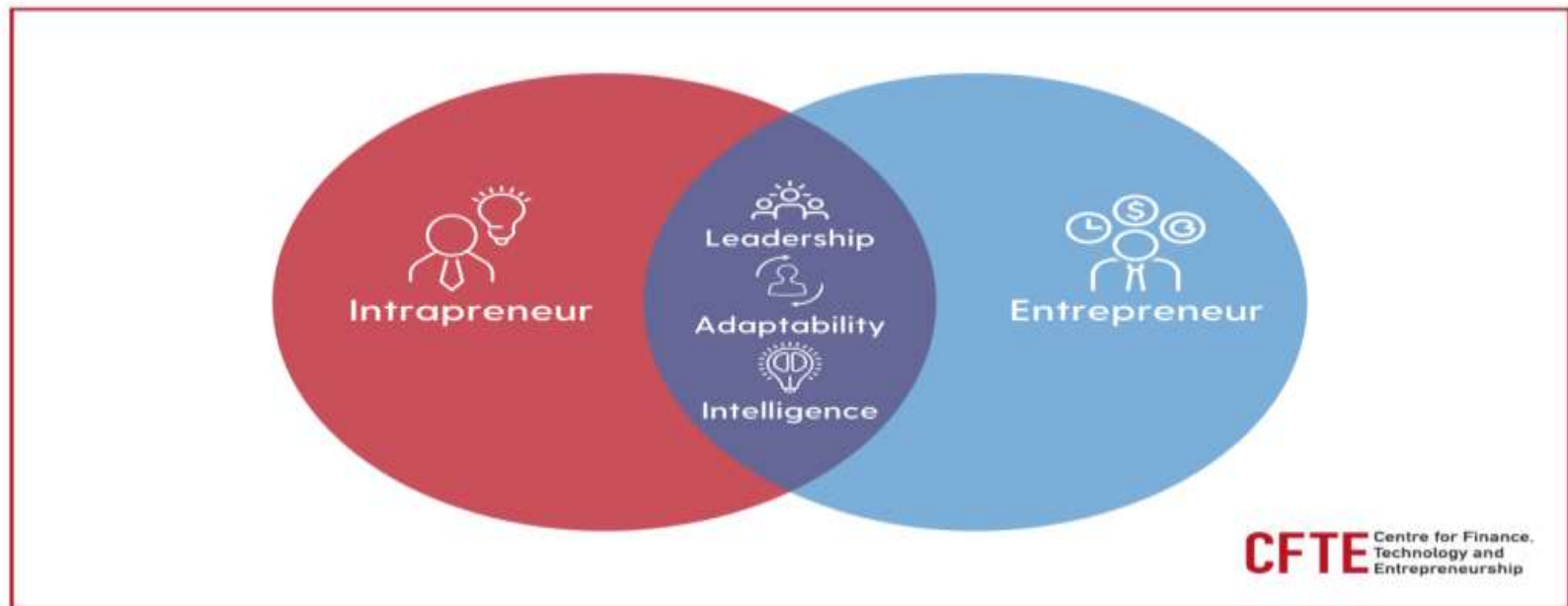
LESSON 6



Metalanguage

1. Intrapreneurial organization.

- An organization which actively promotes intrapreneurship among its employees.



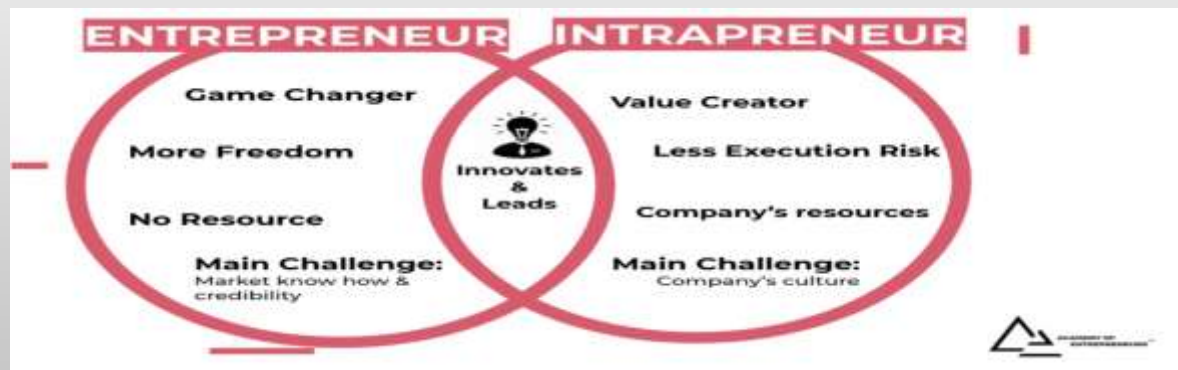
Intrapreneurship in Organizations

Entrepreneurship also happens in smaller units of big organizations and it is called **Intrapreneurship**. This is also synonymous to the “**corporate entrepreneurship**”.

According to Memon (2010) ‘**Intrapreneurs** are inside entrepreneurs who follow the goal of the organization.’

Intrapreneurship happens inside Google. The employees of Google are allowed to spend up to 20% of their work hours to work on projects they are personally interested in.

This proved to be a very good practice as Google was able to produce half of its new products launched by Google in the last 6 months of 2005 are products of their "20 percent rule". In this sense, Google can be considered as an “intrapreneurial organization” because they promote intrapreneurship.



Similarities and Differences between “Entrepreneur” and “Intrapreneur”.

Similarities	Differences
Innovation: - both the entrepreneur and the intrapreneur are innovative persons; - innovation can represent a new product or service, a new technological process or an improved management method;	Type of activity: - the intrapreneur's activity has a restoring character; - the entrepreneur's activity has a creative character;
Creation of value: - adding further value to the products and services is the goal of the the two; - alteration must be truely new and must come up with a different proposal;	Encountered obstacles: - for the intrapreneur, the company's culture can be the main obstacle; - the entrepreneur has only one obstacle, a very powerful one: the market;
Undertaking risk: - the intrapreneurial and entrepreneurial activities have a higher degree of risk as compared to the usual ones; - the intrapreneur risks the company's money, focusing on new products; - the entrepreneur risks own money and time;	Sources of funding: - the intrapreneur uses the company's resources, that can be very large; - the entrepreneur must look for personal funding sources, at the risk of losing his own assets/fortune;

ENTREPRENEUR VS INTRAPRENEUR

In current business literature, there is no shortage of information which aims to characterize entrepreneurship and define the entrepreneur's various roles. Intrapreneurship, a fairly new addition to business vocabulary, has burst onto the scene as providing businesses with new growth avenues.

Let's explore the main differences, as well as the similarities, between entrepreneurs and intrapreneurs.

INDEPENDENCE

Wholly independent in the creation and governance of their entrepreneurial project

TIME CONSTRAINTS

Considerable pressure to demonstrate success quickly

RISK

The entrepreneur assumes all business risks

ADDED VALUE

The entrepreneur must demonstrate added value to all stakeholders

RESOURCES

The entrepreneur must find all necessary resources

DECISION MAKING

The entrepreneur is involved in all relevant strategic decision-making

INDEPENDENCE

Relatively independent in the creation and governance of their intrapreneurial project

TIME CONSTRAINTS

Comparatively less pressure to develop and optimize their project towards successful completion

RISK

The intrapreneur assumes some risk related to their project

ADDED VALUE

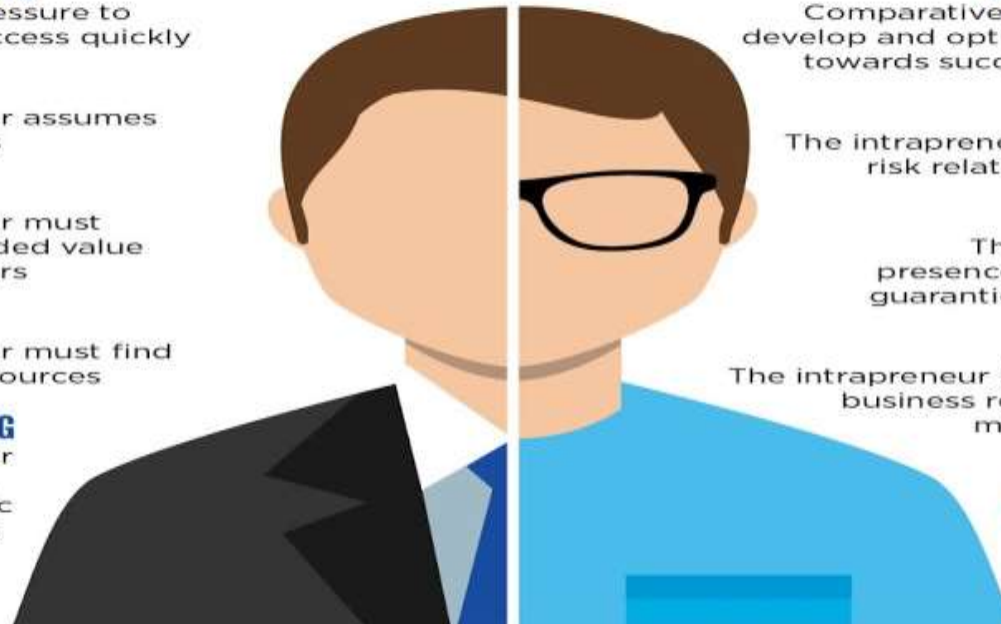
The family business' presence offers additional guaranties to stakeholders

RESOURCES

The intrapreneur has access to core business resources, but they must leverage them to their benefit

DECISION MAKING

The intrapreneur shares decision-making power



**The similarities between the two aren't just semantic!
Let's examine some common traits...**



**CREATIVE &
INNOVATIVE**



PERSEVERING



**DISCIPLINED, MOTIVATED,
AND SELF-STARTERS**



**INSPIRING, PASSIONATE,
AND ENERGETIC**

Methods in Fostering Intrapreneurship

Intrapreneurship in organizations should be promoted because intrapreneurs help in increasing the speed and cost-effectiveness of technology transfer which goes from research and development up until the marketplace. Several suggestions are available in order to foster intrapreneurship in the organizations.

1. A competitive reward system can be established in order to encourage employees to participate.
2. It is important to treat intrapreneurial teams as profit center and not cost center.
3. Allow the team members to choose the projects on which they are interested in.
4. Provide training that is necessary for the employees in order to advance their skills.
5. Allow enterprises to be recognized within the organization.
6. Create a system that defines and supports contractual agreements between internal enterprises.
7. Establish a clear policy and guidelines in settling disputes that may between internal enterprise and employees.

Stages in Intrapreneurship

- 1. Creative Stimulus Stage.** This refers to any triggering or encouraging situations that sparks the creative and innovative minds of the employees in an organization. In this stage, the intrapreneur already sees the opportunity of making an idea successful and thereby help the organization (Belousova & Gailly, 2013; O'Connor & Rice, 2001; Gapp & Fisher, 2007; Kanter ,1983; Menzel , 2007; Menzel et al. , 2007; Seshadri & Tripathy , 2006).
- 2. Creative Development Stage.** This refers to the stage in which the idea and opportunity are **given the chance** to be further explored or worked on (Belousova & Gailly , 2013; O'Connor & Rice , 2001; Gapp & Fisher , 2007; Kanter ,1983; Menzel , 2007; Menzel et al. , 2007; Seshadri & Tripathy , 2006).
- 3. Generating Support and Getting the Go Stage.** In this stage, the idea is being **pitched to the authorized personnel in the organization in order to get a go signal from the management** (Belousova & Gailly, 2013; O'Connor & Rice, 2001; Gapp & Fisher, 2007; Kanter ,1983; Koen et al., 2002; Moriano et al., 2014).

Stages in Intrapreneurship

- 4. Putting the Plan in Action.** Depending on the successful navigation of an employee to organizational politics and other hurdles, the employee can actually just jump to this stage. This is the stage where the employee will use the organization's resources in order to realize his innovative products, services, process etc. (Belousova & Gailly , 2013; Chakravarthy & Lorange , 2008; O'Connor & Rice , 2001; Foley , 2012; Gapp & Fisher , 2007; Kanter, 1983; Menzel, 2007; Menzel et al., 2007; Moriano et al., 2014; Seshadri & Tripathy, 2006).

- 5. Post-implementation Learning Phase.** Just like any other launches of products, services etc., a review of the good and bad experiences regarding the launch and product is necessary in order to evaluate and take corrective actions should it be necessary (Gapp & Fisher, 2007; Menzel, 2007; Menzel et al., 2007; Moriano et al., 2014).

INSPIRING EXAMPLES OF INTRAPRENEURSHIP AND EMPLOYEE IDEAS IN ACTION

1. Swan Vesta – The matchbox millionaire

Ideas can come from anywhere, and some of the best ones are the simplest.

Take this story from enduring brand, Swan. In the early 1900s, a factory worker at Swan Vesta, the match company, went to senior management and told them he had an idea that could save the business millions of pounds in production costs.

He was ignored, with management unbelieving that a lowly factory worker could have ideas of such value. After months of pushing and persuasion, however, the worker managed to get just a few minutes in front of the board, a skeptical audience ready to laugh at his 'million dollar' idea.

The idea? To put the sandpaper strike on only one side of the matchbox rather than both. Revolutionary.

As any Swan matchbox will now prove, the idea worked, and the business saved millions. Like we said, sometimes the best ideas are strikingly simple!



INSPIRING EXAMPLES OF INTRAPRENEURSHIP AND EMPLOYEE IDEAS IN ACTION

2. Frito-Lay – Flamin' Hot!

Flamin' Hot Cheetos are a favourite snack for people across the globe, but the idea for them came from an unlikely source...In the mid-1980's, Frito-Lay was going through a difficult time, so CEO Roger Enrico announced a new initiative for all 300,000 employees to "act like an owner". Richard Montañez had dropped out of school in 4th grade after struggling with his English. At the time of Enrico's announcement, Montañez was a company janitor earning \$4/hour (the most he had ever earned!) but he didn't believe there was such a thing as 'just a janitor'

If you're afraid of looking foolish, you're never going to achieve anything great.

Montañez saw Enrico's announcement as an opportunity... So, he called up the CEO's office and the CEO, impressed by his initiative, agreed to a meeting. Richard was picking up snacks at his local store when he noticed that there was no product catering to Latinos, so he managed to grab some Cheetos (before they had been dusted in the cheese flavouring), took them home, and covered them in a home-made spice mix. Richard put the Cheetos with his mix in 100 different baggies, iron sealing each one before hand-drawing a logo onto each individual baggie. He packed them up and brought them with him to his meeting with the Frito-Lay board. At the board meeting, Enrico and the executives were impressed by Richard's idea. The CEO said to Richard "Put your mop down, you're coming with us...". Montañez's story has become famous, and is set to be made into a film called 'Flamin' Hot', directed by Eva Longoria! Check out the news report below: Flamin' Hot Cheetos is now one of Frito-Lay's most successful launches ever, and Montañez became a VP of MultiCultural Sales and Community Promotions at PepsiCo, amassing a personal fortune of over \$20M! If you want to hear the story in full, check out our episode of 'The Ideas show', where we tell Richard's story from selling Burritos to his classmates in the third grade, to presenting in front of some of the most highly esteemed executives in the US:



3. McDonald's – The happiest meal

Name a more iconic meal in a box than the Happy Meal. We'll wait...

Did you know, however, that this icon actually started as a simple gimmick? In 1977, the St Louis regional manager, Dick Brams, wanted to trial a new meal that was just for kids. He pitched his box-based idea to management, and they were lovin' it!

Two years later, McDonald's rolled out its first Happy Meal. It was circus-themed and very similar to the one we see today.

In the time you've been reading this story, approximately 2,937 have been sold. 3 million Happy Meals are sold every day.

One enduring myth about Happy Meals is that they are just for kids. We can assure you, that's definitely not the case...



INSPIRING EXAMPLES OF INTRAPRENEURSHIP AND EMPLOYEE IDEAS IN ACTION

11. Apple - Swipe to Unlock

Many of you won't remember a time when simply looking at your phone wasn't enough to unlock it, however, long ago, unlocking your phone was a long(er) process!

That was until Freddy Anzures, an Apple employee working on the development of the first ever iPhone, needed to go to the bathroom during a flight.

Freddy and his colleague, Imran Chaudhri, had been working on solving the issue of accidental phone calls aka, 'The Butt Dial' (we've all been there!).

When locking the bathroom door of the airplane toilet, Freddy had a sudden 'Eureka' moment. He was struck by how easy it was to lock and unlock the door, you simply had to swipe, nothing else.

Teaming up with a group of engineers at Apple, Freddy's idea led to one of the key features of the revolutionary iPhone.

Freddy used an old recording of his high school combination lock as the universal sound of unlocking the iPhone.

Sometimes, all it takes is an idea to 'unlock' a whole world of potential.



6. Starbucks – A tall order

Sometimes, an idea becomes so embedded in our culture, we simply take it for granted.

Founded in Seattle back in 1971, Starbucks went on a mission to become its customers' 'third place' to go – a relaxing and comfortable environment in between work and home. This mission was founded on selling not just coffee, but a unique ~~customer experience~~.

In 2011, when one smart barista decided to add to that experience by writing the names of customers on cups, it quickly got back to head office.

Months later, this 'first-name basis' approach became standard at every single Starbucks store. The company even produced a televised ad to promote its new personal approach.

From now on we won't refer to you as a tall latte or a mocha, but as your folks intended – by your name. It's only a little thing. We're Starbucks. Nice to meet you.

Today, this 'little thing' happens four billion times a year at almost 30,000 locations worldwide. Not a bad way to perk up the daily grind!





QUESTIONS

